

**KUMAR  
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# THE BOOSTER SHOTS

Increasing consumption and investment while building infrastructure at the same time will get the virtuous cycle of growth and job creation rolling again

**T**he global economic crisis is now in its third quarter. The ebbing tide has dragged down several boats that seemed rock solid barely a year ago. The knock-on effect on India is palpable. The RBI now expects the economy to grow at around 6 per cent this year, down from 9 per cent just two years ago.

Our stakes in returning quickly to a rapid growth curve are high. These are not just in terms of the GDP growth number and the Sensex. For us, high growth is imperative to lift the vast number of people from conditions of poverty, to ensure social infrastructure and safety to our one billion-plus population, and to provide gainful employment opportunities to the growing number of our youth, who will reach working age in the coming decade.

The global economic climate is yet uncertain. Some pundits are projecting a V-shaped rebound, suggesting a quick revival after the deep slump. If true, there are risks to such a scenario. Many countries have released unprecedented monetary and fiscal policy stimuli. The management of these—and withdrawal—could be a challenge. One cannot rule out disruptive and volatile cycles in the markets.

In such a scenario, we can expect little help for our own growth curve from the global business cycle in the coming years. That backdrop makes it even more necessary to develop robust strategies that will help India get back to the 9-10 per cent growth trajectory notwithstanding the global scenario. This is a challenge that our policymakers and industry need to take head-on. Effective responses to this challenge, in my view, could be broadly

clubbed into two buckets (though not completely exclusive)—short-term damage-limiting responses and medium-term growth-sustaining responses.

For the short term, there are two issues that need to be addressed—the confidence levels and compensating for consumption shortfall with an aggressive push to investment. The new government that will emerge after the elections will need to take immediate actions for boosting confidence levels. It will certainly help if the new government comes out clearly with an economic policy package that assures investors, industries and consumers about the stability of the overall policy direction.

It could step up certain economic and institutional reforms that will also act as confidence-boosters. These could include a quicker transition to a Goods and Services Tax (GST) regime, push to the disinvestment programme, financial market deepening, relaxation of labour laws for certain employment-intensive sectors, enabling long-term investments into equity markets, encouraging development of markets for municipal bonds and so on. Such announcements could send a strong signal to everyone that the new government is committed to high, inclusive growth.

There is also need to review trade policy dynamics. Many countries have used tariff and non-tariff barriers to protect their industry while, on the other hand, there are concerns about dumping by Chinese exporters in neighbouring markets. These call for alert and flexible policy responses so that efforts to revive Indian economy are not harvested by other economies.

The second important leg of the short-term strategy

## PRESCRIPTION

➤ Continue with the fiscal stimuli announced in December and January

➤ Use interest rates to stimulate demand; invest in physical as well as social infrastructure

➤ Boost confidence with measures that signal commitment to high, inclusive growth